DIVORCE AND NET WORTH

Marital status and household wealth in the 2022 Survey of Consumer Finances

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Using the 2022 Survey of Consumer Finances, this note compares the net worth of divorced households with that of married ones. Divorced households hold a fraction of the wealth of married households at every age, and the gap narrows but does not close once age, education and income are held constant.

INTRODUCTION

Marriage pools two incomes and two sets of assets, and divorce divides them, often along with the costs of setting up a second household. Divorced people have long been found to hold less wealth than married people, and the gap grows with the years of marriage that precede it (Zagorsky 2005). This note describes the gap in the most recent Survey of Consumer Finances, the Federal Reserve's triennial survey of household balance sheets (Aladangady et al. 2023).

> Far better an approximate answer to the right question, which is often vague, than an exact answer to the wrong question.
>
> — John W. Tukey (1977)

DATA

The survey interviewed 4,595 households in 2022, with weights that make them represent all American households. Net worth is the value of a household's assets less its debts. Marital status is that of the survey respondent: married, living with a partner, separated, divorced, widowed or never married. Table 1 describes each group. The median household held $187,100.

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Acknowledgements. The data are the public 2022 Survey of Consumer Finances. This document exists to show a docdesigner style; its analysis is deliberately simple.

TABLE 1: Net worth by marital status, 2022

Marital status	Households (%)	Median net worth	Mean net worth	Mean age
Married	47.1	$375,540	$1,711,000	53.5
Living with partner	10.2	$129,700	$501,271	41.4
Separated	2.4	$55,700	$289,831	51.4
Divorced	13.2	$88,170	$512,738	59.1
Widowed	8.5	$261,500	$784,406	74.0
Never married	18.6	$22,800	$236,229	41.4

RESULTS

The median divorced household held $88,170, about 23 cents for every dollar held by the median married household. Divorced respondents are older than married ones, so age alone cannot account for the difference. Figure 1 compares the groups age by age: the married hold more at every age, and the gap widens through middle age, as married households' wealth climbs and divorced households' barely does.

FIGURE 1: Median net worth by age of respondent, 2022. Thousands of 2022 dollars.

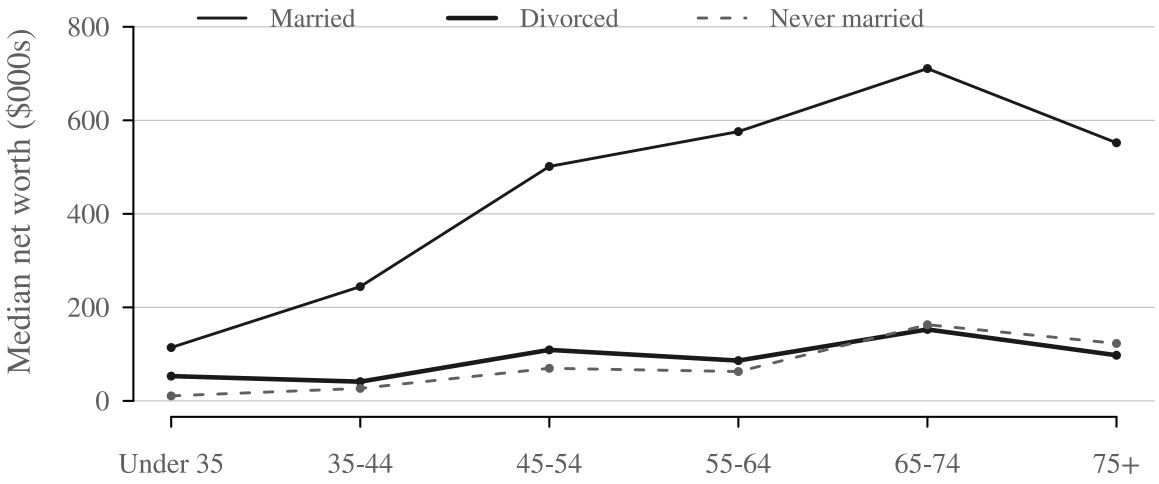


Table 2 reports two weighted regressions of net worth, on the inverse hyperbolic sine scale, which behaves like a logarithm but accepts the zero and negative net worth some households report. Holding age constant, the coefficient on divorce is −3.66. Adding education and income shrinks it to −2.46: differences in education and income account for about 33% of the gap, and the rest remains.

TABLE 2: Weighted OLS models of net worth (inverse hyperbolic sine). Reference: married. Standard errors in parentheses; * p < .05, ** p < .01, *** p < .001

Term	Model 1	Model 2
Living with partner	−0.79*	−0.21
	(0.32)	(0.31)
Separated	−3.81***	−2.18***
	(0.59)	(0.59)
Divorced	−3.66***	−2.46***
	(0.28)	(0.28)
Widowed	−1.90***	−0.80*
	(0.36)	(0.36)
Never married	−4.01***	−2.71***
	(0.26)	(0.27)
Age	0.27***	0.22***
	(0.03)	(0.03)
Age² / 100	−0.17***	−0.12***
	(0.03)	(0.03)
College degree		0.55**
		(0.19)
Log income		1.08***
		(0.08)
Constant	3.59***	−8.07***
	(0.83)	(1.17)
Households	4,595	4,595
R^2	0.15	0.19

CONCLUSION

In 2022, as in earlier work, divorced households held far less wealth than married ones, and differences in age, education and income explain only part of the gap. These data cannot say how much of it divorce causes and how much reflects who divorces. That is the point of a specimen: the reader can attend to how the page sets the argument rather than to the argument itself.

REFERENCES

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